

AI, CYBERSECURITY, AND THE EXPANDING ROLE OF CORPORATE BOARDS



Introduction

Artificial Intelligence (AI) is no longer just a technology conversation. It has become a corporate governance issue.

As businesses increasingly adopt AI tools across operations, customer service, recruitment, compliance, and decision-making, the legal and regulatory risks associated with these technologies are growing just as quickly.

Nigeria is steadily moving toward stronger digital economy regulation, with increasing focus on artificial intelligence, cybersecurity, and data governance. For many companies, this means one thing: boards can no longer afford to treat technology oversight as solely an IT function.

The responsibility is becoming broader, more strategic, and increasingly central to effective corporate governance.

The Growing Governance Responsibility of Corporate Boards

Historically, technology-related matters were often delegated to management teams and technical departments. However, the growing dependence on digital systems means that technology risks now have direct implications for business continuity, regulatory compliance, reputation, and shareholder value.

As a result, boards are increasingly expected to provide oversight of:

- a) AI-related risks and governance;
- b) Cybersecurity preparedness and resilience;
- c) Data governance frameworks;
- d) Regulatory compliance relating to digital operations; and

- e) Technology risk management generally.

Technology oversight is no longer merely an operational concern. It has become a boardroom issue.

Directors' Duties in an Increasingly Digital Environment

The expansion of technology governance responsibilities is closely linked to the legal duties owed by directors.

Under the Companies and Allied Matters Act (CAMA), directors owe fiduciary duties to act in the best interests of the Company and to exercise reasonable care, skill, and diligence in the performance of their functions.

As businesses become increasingly dependent on technology and data, these duties may require directors to ensure that the Company has appropriate systems, controls, and governance structures for identifying and managing technology-related risks.

Boards are not expected to become technical experts. However, they are expected to exercise adequate oversight and ensure that appropriate expertise, policies, and reporting mechanisms are in place.

The Risks of Inadequate Oversight

The consequences of weak governance in relation to AI, cybersecurity, and data protection can be significant.

Potential risks include:

- a) Data breaches and unauthorized access to sensitive information;
- b) Regulatory investigations and enforcement actions;
- c) Financial losses arising from cyber incidents;
- d) Reputational damage and loss of customer trust;
- e) Operational disruption; and
- f) Increased scrutiny from investors, regulators, and other stakeholders.

A single cybersecurity incident or poorly governed AI deployment can create legal, financial, and reputational consequences that extend well beyond the technology function.

The Impact of the Nigeria Data Protection Act 2023

The enactment of the Nigeria Data Protection Act 2023 has further heightened the importance of effective data governance.

Companies that collect, process, or store personal data are now subject to more robust compliance obligations. Yet many organisations continue to adopt digital tools and

technologies without implementing the governance frameworks necessary to support them safely and responsibly.

For boards, data protection is no longer simply a compliance matter. It is a governance issue that requires ongoing oversight and engagement.

Governance Must Evolve with Innovation

Innovation remains essential for business growth and competitiveness. The question is no longer whether companies should embrace AI and digital transformation. They should.

The more important question is whether governance is evolving at the same pace as innovation.

Boards that proactively address AI governance, cybersecurity, and data protection are likely to be better positioned to manage risk, maintain stakeholder confidence, and respond effectively to regulatory developments. Conversely, boards that fail to prioritise these issues may find themselves facing regulatory scrutiny, investor concerns, and increased liability exposure.

Conclusion

As AI adoption accelerates and digital operations become increasingly central to business activities, corporate boards must recognise that technology oversight is now a core governance responsibility.

Effective governance in the digital age requires more than innovation. It requires accountability, oversight, and a clear framework for managing the risks that accompany technological advancement.

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